Industry chosen: Cyber Security

Sub-industry: Data Security (On-Premise and Cloud)

Assumptions to note (most of which act as filters):

1. High tech industry has been chosen
2. Companies included in this report are publicly listed.
3. They are independent and have not been acquired by a bigger organization.
4. Taken Data Security as a broad-spectrum sub-industry, can be further divided into data security posture management or data loss prevention.
5. Considered separate revenue line as opposed to a simple division contributing to the growth of a larger organization.
6. Companies were excluded if they failed to meet at least one of the above assumptions.
7. Links to support the claims made in this report will be attached at the end for reference.

Reasoning for industry choice:

- With the introduction of various data centres across the world, major organizations allocating funds for data centre infrastructure, the need for cyber security will increase.

  The global market size sourced by Mordor Intelligence in CY25 was $14.7B. The market size in CY26 was estimated to be $17.21B. Market Size is not verified, many sources estimated different figures, the figures ranging from $15B in CY2025 all the way up to ~$24B in the same CY. The market growth is projected at a CAGR of 17.12% reaching $37.93B by CY31 estimated by Mordor Intelligence.

- A good share of the data security market is private, and only companies listed on SEC were considered. Not the companies on non-US exchanges. Private companies filter excludes: Veeam, Cohesity, Druva, Proofpoint, Forcepoint, Trellix, BigID, Cyera, Sentra, Baffle, Optiv. Notably, the two largest players in this sub-industry are both private: Veeam at approximately $2bn annual recurring revenue, and Cohesity at roughly $1.7bn pro-forma revenue following its merger with Veritas.

- Independent, do not have a parent company, this excludes: CyberArk (PaloAlto par.), Mandiant (Google par.) and many other companies either excluded because they've been acquired or because they are privately listed. So, the independent, publicly listed universe remains small.

- Separately disclosed revenue company occupy a smaller share of the market, roughly 18% of an estimated $17.2B market. The rest are occupied either by private companies or acquired by a parent company and a smaller division owns the market share.

  This then rules out Microsoft, IBM, Cisco, Dell, Broadcom, Google, Palo Alto Networks, CrowdStrike, Zscaler, Check Point, ServiceNow but in each case the acquired revenue is absorbed into a larger segment and is not separately reported. Their exclusion reflects disclosure practice rather than market position. All remain material competitors and are addressed in the competitive analysis.

  Which leaves us with three companies: Rubrik, Varonis, and Commvault.

Company-wise projection:

- **Rubrik:**
  - Listed publicly only two years ago in April 2024, the company's growth rate has been the highest out of the three competitors taking the number 1 spot in growth quality and raw growth.
  - Specializes in 5 data types, enterprise, cloud, SaaS, unstructured data and identity, consistent with the filters mentioned above.
  - Their fiscal year is from February to January, and their most recent reporting reported a growth of 48.5% in FY26 and are estimated to hit a growth of ~22% in FY2027.
  - Rubrik has two partners, Channel Partners and Technology Alliance Partners. Their channel partners (3) generated 68% of their FY2026 revenue.
  - Lists Commvault, Dell EMC, IBM, Veeam, Cohesity as its direct competitor.
  - They operate in Americas, EMEA and APAC regions and their 10-Q report for Q1 reported that the above regions contributing a weighted average growth of ~39% just in Q1 with APAC being the highest at ~45.7% ($16M) and Americas being the lowest at ~37.6% ($278.9M). EMEA contributed a growth of ~42.4% ($92.2M). Americas being their biggest market contributed a lower overall growth than the other two regions.

Model Assumption:

Input	Value	Basis
Base exit ARR (FY2027)	$1,834m	Guidance midpoint
Base ARR growth (FY2027)	25.4%	Guidance ÷ FY2026 actual ($1,462m)
Terminal growth	17.12%	Market CAGR, flat-share assumption
Decay factor (k)	0.75	Observed FY2024 - FY2026
Revenue / average-ARR ratio	0.97	Calibrated to FY2027

Projections:

FY	Basis	Exit subscription ARR	ARR growth	Revenue	Revenue growth
2026	Reported	1,462	33.8%	1,316	48.5%
2027	Company guidance	1,834	25.4%	1,602	21.7%
2028	Projected	2,262	23.4%	1,987	24.0%
2029	Projected	2,756	21.8%	2,434	22.5%
2030	Projected	3,324	20.6%	2,949	21.2%

Benchmark:

Method	FY2030 exit ARR
Constant 33.8% held (2026 reported)	$4,395m
Constant 25.4% held (2027 estimated)	$3,620m
This model	**$3,324m**
Market growth only, flat share	$2,946m

Before FY26, Rubrik used to sell hardware products before they transferred appliance sales to contract manufacturers. They provided a warranty-like card and some people who bought those products held rights to come in for free replacements, but Rubrik offered an alternative to the repair, being subscription credits, hence why the growth is inflated at 48.5%. So, FY27 is compared to FY26 where FY26 showed a much higher growth rate, and then FY28 is being compared to FY27 which with the maths done by the model, estimates an increased revenue growth. As seen, subscription ARR is unaffected by this and declines steadily throughout the period, which is why the projection is built on ARR rather than reported revenue.

The projected CAGR, three-year revenue comes out to **22.6%.** (subscription ARR, material rights and guidance are not in the 10-K; they come from the earnings release, which is why the third link has been added)

- **Varonis**:
    - Has been listed publicly for over a decade (2014). Second-highest growth out of the three in the list.
    - Specializes in developing software for data and AI security, threat detection and response, and data privacy and compliance, protecting data in the cloud, on-premises, in SaaS applications and across AI-driven systems.
    - Fiscal year is the same as calendar year. January-December.
    - Acquired SlashNext, Cyral and AllTrue.ai enhancing their data security platform.
    - Operate in SaaS, Cloud and on-premise environments, SaaS being their specialty.
    - Reported SaaS ARR growth was 52% in Q2 2026, or 25% excluding conversions. The difference reflects existing term-licence customers migrating onto SaaS rather than new business while term licence revenue

fell from $32.4m to $4.2m and maintenance from $13.9m to $4.1m over the same period, a combined $38m decline against $66m of SaaS growth.

- Largest operation in US, 71% of their sales. Also operate in Europe and Rest of the World with 21% and 8% generation of their sales respectively. Generated a revenue of $623.5M which was a 13.2% growth from the last FY.

Model Assumption:

Input	Value	Basis
Base revenue (FY2026)	$737m	Guidance midpoint
Base growth	20.5%	Guided SaaS ARR growth excluding conversions
Terminal growth	17.12%	Market CAGR, flat-share assumption
Decay factor (k)	0.75	Derived from Rubrik

Projections:

FY (ends 31 Dec)	Basis	Revenue	Growth
2024	Reported	551.0	--
2025	Reported	623.5	13.2%
2026	Guidance	737	18.2%
2027	Projected	882	19.7%
2028	Projected	1,050	19.0%
2029	Projected	1,244	18.5%

- **Three-year CAGR (FY26 to FY29) = 19.1%, lower than Rubrik's 22.6%**

ARR wasn't projected for this organization as historical ARR figures are not available on a consistent basis. The base is simply reported revenue. Applying the ARR growth rate directly to Varonis revenue assumes the two grow at the same rate. Revenue is still converging toward ARR as legacy lines run off, so this may understate near-term growth.

- **Commvault:**
    - Longest listed company out of the three, nearly 2 decades. Ranks third on growth, however.
    - Like Varonis, subscription-based arrangements which include SaaS and term-based subscriptions. They have a cloud-based product split into 3 parts. They offer a complementary package with purchasing a cloud-based product.
    - Lists Rubrik as their competitor along with Veeam and Cohesity.
    - Fiscal year ends on 31st March, starts 1st April
    - 36% workforce in Americas, 64% International.
    - Ended the year with revenue totalling $1.184B across all regions, Americas bringing in 59.4% of the share ($702.9M) and International bringing in 40.6% of the share ($480.8M)

Model Assumption:

Input	Value	Basis
Base revenue (FY2027)	**$1,305m**	**Guidance midpoint, Q4 FY2026 earnings release**
Base growth (FY2027)	**10.2%**	**Guidance ÷ FY2026 reported ($1,184m)**
Growth path	**Held flat**	**The framework assumes a growth above the going market rate, but the growth for Commvault is below the going rate, so the decay factor has been disregarded.**

Projections:

FY	Basis	Revenue	Growth
2024	**Reported**	**839.2**	**--**
2025	**Reported**	**995.6**	**18.6%**
2026	**Reported**	**1,184**	**18.9%**
2027	**Company guidance**	**1,305**	**10.2%**
2028	**Projected**	**1,439**	**10.2%**

FY	Basis	Revenue	Growth
2029	Projected	1,586	10.2%
2030	Projected	1,749	10.2%

CAGR comes out to 10.2% yoy which is the lowest out of the three, however it is still growth, nonetheless.

Decay rate derived from Rubrik's observed ARR growth deceleration (FY24 – FY26), applied across companies as a sector-level assumption. Projections are sensitive to this input.

Limitations:

- Rubrik has approximately two years of public reporting; the decay factor rests on a single year-over-year observation.
- FY2027 figures for Rubrik and Commvault, and FY2026 for Varonis, are company guidance rather than reported results. Rubrik has since raised its FY27 guidance twice; this projection keeps the March 2026 guidance it was built on.
- The decay factor is derived from Rubrik and applied to Varonis as a sector-level assumption.

Final recommendation: With the analysis done above, Rubrik is projected to deliver the highest revenue growth reaching a growth rate of 22.6% as compared to Varonis' 19.1% and Commvault's 10.2% growth rate. Rubrik's projection is supported by $2.44bn of remaining performance obligations as of April 2026, approximately 53% of which is expected to be recognised within twelve months.

Rubrik, Varonis and Commvault 10-K and 10-Q filings and quarterly earnings releases (8-K Exhibit 99.1); market size and growth from Mordor Intelligence. Links in the GitHub README